ECON 301 — Microeconomics

Opportunity cost is the value of the next best alternative forgone.

A production function shows the maximum output for each input combination.

A price ceiling below equilibrium creates shortages in the market.

Elasticity measures the responsiveness of quantity demanded to a change in price.

A competitive firm produces at the point where marginal cost equals marginal revenue.

Consumer surplus is the area below the demand curve and above the market price.

The marginal rate of substitution declines as we move along an indifference curve.

Demand curves shift when income, tastes, or the prices of related goods change.